NPV FUNCTION

The NPV, or Net Present Value Function, allows you to find the current worth of future monetary flows. It considers the initial expenditure's cost and interest rate to gauge the present value of a series of payments.

NPV = Present value (Pv) of Cash flows – Initial investment

The Net Present Function syntax is as follows:

NPV(rate,value1,[value2],...).

In this case, the rate is a required argument in the formula and represents the discount rate throughout the period.

The Value represents the cash flows (either outgoing or incoming). Outgoing is entered as a negative value, while an incoming payment is entered as a positive value. The value1 argument is required, while the subsequent values are optional. All the values should be evenly distributed and appear after every cycle.

When determining NPV, two potential outcomes may be encountered:

1. The first cash flow occurs at the **End of the First Period**.
2. The first cash flow occurs at the **Beginning of the First Period.**

In the example below, the data set in the worksheet contains cash outflows of $300,000 and happened at the end of the first year, where the Annual interest rate argument is entered in cell **G4**.